

Subject Description Form

Subject Code	AF3313
Subject Title	Business Finance
Credit Value	3
Level	3
Normal Duration	1-semester
Pre-requisite / Co-requisite / Exclusion	Pre-requisite: Financial Accounting (AF2108) or equivalent
Objectives	This subject enables students to develop strong analytical skills and critical thinking, and apply financial methods to analyze business problems and apply basic financial theories, analyze financial reports and understand the operations of financial markets, and demonstrate an understanding on the applications and implications of the latest technologies to practices and decisions pertaining to accounting and finance.
Intended Learning Outcomes	Upon completion of the subject, students will be able to: - Apply different investment appraisal techniques and evaluate the limitations (BBA Outcome 9); - Apply the portfolio theory to construct a diversified portfolio (BBA Outcome 9); - Determine the corporate cost of capital (BBA Outcome 9); - Apply basic financial theories and understand the operations of financial markets (BBA Outcome 9); and - Understand the application and impact of data science in business finance.(BBA Outcome 7).
Subject Synopsis/ Indicative Syllabus	Introduction Corporate Goal. The Agency Problem and Control of the Corporation Valuation of Securities Time value of money. Valuation of Stocks and bonds. Investment Appraisal Techniques and the limitations Payback period. Average Accounting Return. Internal rate of return. Net present value. Profitability Index. Incremental cash flows and Capital Budgeting. Investments of unequal lives. Risk Analysis, Real Options and Capital Budgeting Decision trees, Real Options. Sensitivity Analysis. Scenario Analysis. Breakeven Analysis Portfolio Theory Risk statistics. Opportunity Set and Efficient set. Capital Market Line. Capital Asset Pricing Model. The Security Market Line. Cost of Capital Beta. Cost of Equity. Cost of Debt. Weighted Average Cost of Capital.

	Net Working Capital Management Short-term Finance and Planning. Cash Management. Credit Management. Data science and Customer behavioral trends/predictions.							
Teaching/Learning Methodology	The mass lectures cover the basic concepts and theories. Tutorial sessions allow students to discuss the lectures and present the applications of financial methods in smaller groups.							
Assessment Methods in Alignment with Intended Learning Outcomes	Specific assessment methods/tasks	% weighting	Intended subject learning outcomes to be assessed (Please tick as appropriate)					
			a	b	c	d	e	
	Continuous Assessment	40%						
	1. Participation (Tutorial sessions)	5%		√	√	√	√	
	2. Midterm Test	20%	√	√				
	3. Individual Written Assignment	15%	√		√	√	√	
	Final Examination	60%	√	√	√	√	√	
	Total	100 %						
	To reflect the significant technology content in this subject, 10% (or more) of the overall weighting of this subject is based on individual assessment concerning technology-related knowledge.							
Student Study Effort Expected	Class contact:							
	▪ Lectures			26 Hrs.				
	▪ Tutorials			13 Hrs.				
	Other student study effort:							
	▪ Assigned tutorial questions			55 Hrs.				
	▪ Individual written assignment			16 Hrs.				
	Total student study effort			110 Hrs.				
Reading List and References	Ross, Westerfield, Jaffe, Jordan, <i>Corporate Finance</i> , latest edition, McGraw-Hill Ross, Westerfield, Jaffe, Lim, Tan and Wong, <i>Corporate Finance</i> , Asia Global Edition, McGraw-Hill, 2015.							